

KUJU COLLIERIES LTD. v. JHARKHAND MINES LTD.

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These observations bear out what we have said in regard to the mechanics of performance of chain contracts in jute goods and show that shipping instructions can and must follow delivery and endorsement of Pucca Delivery Orders from one buyer to another in the chain and when the last buyer gives shipping instructions to the Mill Company and pursuant to such shipping instructions the Mill Company delivers the goods alongside the export vessel, the giving and taking of actual delivery of possession of the goods takes place "all along the chain at the same moment".

16. It is, therefore, clear, both on principle and authority, that in case of a transferable specific delivery contract *for export*, clause (2) of the prescribed form requiring buyers to give a particular number of clear working days' notice to place goods alongside is not rendered inapplicable by a provision in the contract under clause (4) stipulating for delivery of Pucca Delivery Orders against payment of the price. Clause (2) of the prescribed form can be appropriately incorporated in such a contract and omission to include it cannot be justified on the plea that it would be inconsistent with clause (4) of the contract.

17. We must, therefore, hold that since the contracts in the present case did not contain any provision corresponding to clause (2) of the prescribed form requiring buyers to give a particular number of clear working days' notice to place goods alongside, they were not in the prescribed form and hence they were illegal under Section 15, sub-sec. (3A) and the arbitration clause contained in each of these contracts was also consequently void. We accordingly affirm the decision of the Single Judge of the Calcutta High Court and dismiss the appeal with costs.

(1974) 2 Supreme Court Cases 533

(Before P. Jaganmohan Reddy, M. H. Beg and A. Alagiriswami, JJ.)

KUJU COLLIERIES LTD.

.. Appellant ;

Versus

JHARKHAND MINES LTD. AND OTHERS

.. Respondents.

Civil Appeal No. 1865 of 1967†, decided on August 12, 1974

Contract Act, 1872 — Section 65 — Scope and applicability of — Agreement when entered into known to be unlawful by both parties — Held, not covered — Distinction between agreement and contract — Section 2 — Lease entered into contrary to explicit statutory provisions contained in Mines and Minerals (Regulation and Development) Act, 1948 and the Mineral Concession Rules, 1949 — Suit for recovery of possession of leased property or for refund of sums paid, held, rightly dismissed — Further held that Section 70 or Section 72 did not apply to such a case

HELD :

Section 65 makes a distinction between an agreement and a contract. According to Section 2 of the Contract Act an agreement which is enforceable by law is a

†Appeal by special leave from the Judgment and decree, dated 19th October, 1965 of the Patna High Court in Original Decree No. 311 of 1960.

contract and an agreement which is not enforceable by law is said to be void. Therefore, when the earlier part of the section speaks of an agreement being discovered to be void it means that the agreement is not enforceable and is, therefore, not a contract. It means that it was void. It may be that the parties or one of the parties to the agreement may not have, when they entered into the agreement, known that the agreement was in law not enforceable. They might have come to know later that the agreement was not enforceable. The second part of the section refers to a contract becoming void. That refers to a case where an agreement which was originally enforceable and was, therefore, a contract, becomes void due to subsequent happenings. In both these cases any person who has received any advantage under such agreement or contract is bound to restore such advantage, or to make compensation for it to the person from whom he received it. But where even at the time when the agreement is entered into both the parties knew that it was not lawful and, therefore, void, there was no contract but only an agreement and it is not a case where it is discovered to be void subsequently. Nor is it a case of the contract becoming void due to subsequent happenings. Therefore, Section 65 of the Contract Act did not apply. If both the transferor and transferee are in *pari delicto* the courts do not assist them. (Paras 6 and 8)

Harnath Kuar v. Inder Bahadur Singh, (1923) 50 IA 69, relied on.

Budhulal v. Deccan Banking Company, AIR 1955 Hyd 69, approved.

Sivaramakrishnaiah v. Narahari Rao, AIR 1960 AP 186, approved.

Ramagya Prasad Gupta v. Sri Murli Prasad, (1974) 2 SCC 266, followed.

Appeal dismissed

M/2078/C

Advocates who appeared in this case :

O. P. Malhotra, Senior Advocate (*D. N. Mishra*, Advocate for *M/s. J. B. Dadachani & Co.*, Advocates, with him), for the Appellant;

D. N. Mukherjee and *N. R. Chaudhry*, Advocates, for the Respondents Nos. 1, 3 & 5.

S. N. Prasad, Advocate, for the Respondents Nos. 2 & 4.

D. P. Singh, Senior Advocate (*S. C. Agarwala*, *V. J. Francis* and *S. S. Bhatnagar*, Advocates of *M/s. Ramamurthi & Co.*, Advocates, with him), for the Intervener.

The Judgment of the Court was delivered by

ALAGIRISWAMI, J.—This appeal is against the judgment of the Patna High Court by Special Leave granted by this Court. It arises out of a mining lease granted by the Respondent No. 1 but alleged to have been done so in the name of the Respondent No. 1 by Respondent No. 2 in favour of Haricharan Singh J. D. & Co. on September 7, 1950. In pursuance of the lease a sum of Rs. 80,000 was paid to Respondent No. 1. The plaintiff allegation was that Respondent No. 1 was a Limited Company created by Respondent No. 2. There was an earlier lease in respect of the same property in favour of Respondents 3 and 4 which expired on April 4, 1950. Haricharan Singh J. D. & Co. later changed its name to Kuju Collieries Ltd. who are the appellants. As the plaintiff did not get the possession of the leased property it instituted a suit for recovery of possession of the leased property along with mesne profits and in the alternative for refund of the sum of Rs. 80,000 and certain other sums. The present appeal is, however, concerned only with that amount.

2. In the suit Respondent No. 1 and Respondent No. 2 took the stand that Respondent No. 1 was not created by Respondent No. 2, that the lease was by Respondent No. 1 and the amount was paid to Respondent

No. 1 alone and not to Respondent No. 2. Respondent No. 1 also contended that the leased properties were handed over to the plaintiff, that they were not aware that Respondents 3 and 4 were resisting the plaintiff's claim and that Respondent No. 1 was not in any case responsible therefor and that therefore the plaintiff was not entitled to any relief. During the pendency of this appeal Respondents 2 and 3 died and their legal representatives have not been brought on record. The appellant is not claiming any relief against any of the other respondents except Respondent No. 1 and it is, therefore, unnecessary to refer to the attitude taken by them in the suit.

3. It is necessary at this stage to mention that after the institution of the suit the Bihar Land Reforms Act came into force as a result of which any lessee working a mine became a direct lessee under the State, and as the plaintiff was not working the mines any claim in respect of the possession of the mines became unenforceable. The appellant has, therefore, confined his claim to the sum of Rs. 80,000 as payable to it by Respondent No. 1.

4. The trial Court held that as the plaintiff was already in the business of mining and had the advantage of consulting its lawyers and solicitors and their lease deed was drawn up and prepared by solicitors, there was no occasion for the plaintiff to have been under any kind of ignorance of law and as the Mineral Concession Rules of 1949 rendered any stipulation for payment of salami illegal and the lease on that basis was also illegal, the plaintiff was not entitled to claim relief under Section 65 of the Indian Contract Act. It, therefore, dismissed the suit.

5. On appeal the High Court also held that neither Section 65 nor Section 72 of the Contract Act applied to the facts of the case.

6. We are of the view that Section 65 of the Contract Act cannot help the plaintiff on the facts and circumstances of this case. Section 65 reads as follows :

When an agreement is discovered to be void, or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it, to the person from whom he received it.

The section makes a distinction between an agreement and a contract. According to Section 2 of the Contract Act an agreement which is enforceable by law is a contract and an agreement which is not enforceable by law is said to be void. Therefore, when the earlier part of the section speaks of an agreement being discovered to be void it means that the agreement is not enforceable and is, therefore, not a contract. It means that it was void. It may be that the parties or one of the parties to the agreement may not have, when they entered into the agreement, known that the agreement was in law not enforceable. They might have come to know later that the agreement was not enforceable. The second part of the section refers to a contract becoming void. That refers to a case where an agreement which was originally enforceable and was,

therefore, a contract, becomes void due to subsequent happenings. In both these cases any person who has received any advantage under such agreement or contract is bound to restore such advantage, or to make compensation for it to the person from whom he received it. But where even at the time when the agreement is entered into both the parties knew that it was not lawful and, therefore, void, there was not contract but only an agreement and it is not a case where it is discovered to be void subsequently. Nor is it a case of the contract becoming void due to subsequent happenings. Therefore, Section 65 of the Contract Act did not apply.

7. The Privy Council in its decision in *Harnath Kuar v. Inder Bahadur Singh*¹ observed :

The section deals with (a) agreements and (b) contracts. The distinction between them is apparent by Section 2; by clause (e) every promise and every set of promises forming the consideration for each other is an agreement, and by clause (h) an agreement enforceable by law is a contract. Section 65, therefore, deals with (a) agreements enforceable by law and (b) with agreements not so enforceable. By clause (g) an agreement not enforceable by law is said to be void. An agreement, therefore, discovered to be void is one discovered to be not enforceable by law, and, on the language of the section would include an agreement that was void in that sense from its inception as distinct from a contract that becomes void.

8. A Full Bench of five Judges of the Hyderabad High Court in *Budhulal v. Deccan Banking Company*² speaking through our brother, Jaganmohan Reddy, J. as he then was, referred with approval to these observations of the Privy Council. They then went on to refer to the observations of *Pollock and Mulla* in their treatise on *Indian Contract and Specific Relief Acts, 7th Edn.* to the effect that Section 65, Indian Contract Act does not apply to agreements which are void under Section 24 by reason of an unlawful consideration or object and there being no other provision in the Act under which money paid for an unlawful purpose may be recovered back, an analogy of English Law will be the best guide. They then referred to the reasoning of the learned authors that if the view of the Privy Council is right namely that "agreements discovered to be void" apply to all agreements which are *ab initio* void including agreements based on unlawful consideration, it follows that the person who has paid money or transferred property to another for an illegal purpose can recover it back from the transferee under this section even if the illegal purpose is carried into execution and both the transferor and transferee are in *pari delicto*. The Bench then proceeded to observe :

In our opinion, the view of the learned authors is neither supported by any of the subsequent Privy Council decisions nor is it consistent with the natural meaning to be given to the provisions of Section 65. The section by using the words 'when an agreement is discovered to be void' means nothing more nor less than: when the plaintiff comes to know or finds out that the agreement is void. The word 'discovery' would imply the pre-existence of something which is subsequently found out and it may be observed that Section 66, Hyderabad

1. (1923) 50 IA 69, 67-77 : AIR 1922 PC 403.

2. AIR 1955 Hyd 69 (FB) : ILR 1955 Hyd 101.

Contract Act makes the knowledge (Ilm) of the agreement being void as one of the pre-requisites for restitution and is used in the sense of an agreement being discovered to be void. If knowledge is an essential requisite even an agreement ab initio void can be discovered to be void subsequently. There may be cases where parties enter into an agreement honestly thinking that it is a perfectly legal agreement and where one of them sues the other or wants the other to act on it, it is then that he may discover it to be void. There is nothing specific in Section 65, Indian Contract Act or its corresponding section of the Hyderabad Contract Act to make it inapplicable to such cases.

A person who, however, gives money for an unlawful purpose knowing it to be so, or in such circumstances that knowledge of illegality or unlawfulness can as a finding of fact be imputed to him, the agreement under which the payment is made cannot on his part be said to be discovered to be void. The criticism that if the aforesaid view is right then a person who has paid money or transferred property to another for illegal purpose can recover it back from the transferee under this section even if the illegal purpose is carried into execution, notwithstanding the fact that both the transferor and transferee are in *pari delicto*, in our view, overlooks the fact that the courts do not assist a person who comes with unclean hands. In such cases, the defendant possesses an advantage over the plaintiff — *in pari delicto potior est conditio defendentis*.

Section 84, Indian Trust Act, however, has made an exception in a case— where the owner of property transfers it to another for illegal purpose and such purpose is not carried into execution or the transferor is not as guilty as the transferee or the effect of permitting the transferee to retain the property might be to defeat the provisions of any law the transferee must hold the property for the benefit of the transferor.

This specific provision made by the legislature cannot be taken advantage of in derogation of the principle that Section 65, Contract Act, is inapplicable where the object of the agreement was illegal to the knowledge of both the parties at the time it was made. In such a case the agreement would be void *ab initio* and there would be no room for the subsequent discovery of that fact.

We consider that this criticism as well as the view taken by the Bench is justified. It has rightly pointed out that if both the transferor and transferee are in *pari delicto* the courts do not assist them.

9. A Division Bench of the Andhra Pradesh High Court in its decision in *Sivaramakrishnaiah v. Narahari Rao*³ held that :

In order to invoke Section 65 the invalidity of the contract or agreement should be discovered subsequent to the making of it. This cannot be taken advantage of by parties who knew from the beginning the illegality thereof. It only applies to a case where one of the parties enters into an agreement under the belief that it was a legal agreement, i.e. without the knowledge that the agreement is forbidden by law or opposed to public policy and as such illegal. The effect of Section 65 is that, in such a situation, it enables a person not in *pari delicto* to claim restoration since it is not based on an illegal contract but dissociated from it. That is permissible by reason of the section because the section is not founded on dealings which are contaminated by illegality. The party is only seeking to be restored to the *status quo ante*. Section 65 also does not recognise the distinction between a contract being illegal by reason of its being opposed to public policy or morality or a contract void for other reasons. Even agreements, the performance of which is attended with penal consequences, are not outside the scope of Section 65. At the same time, courts will not render assistance to persons who induce innocent parties to enter into contracts of that

3. AIR 1960 AP 186.

nature by playing fraud on them to retain the benefit which they obtained by their wrong.

They also referred with approval to the earlier decision of the Hyderabad High Court in *Budhulal v. Deccan Banking Co. Ltd.* (supra).

10. In a recent judgment of this Court in *Shri Ramagya Prasad Gupta v. Sri Murli Prasad*⁴ to which one of us was a party, this Court quoted with approval the observations of the Full Bench of the Hyderabad High Court in *Budhulal v. Deccan Banking Company* (supra). These decisions are in accordance with the view we have taken.

11. The Mineral Concession Rules came into force on October 25, 1949. As the lease came into force on September 7, 1950 and money was paid on that date, the fact that there was an earlier unregistered contract does not make any difference to the question at issue. Section 4 of the Mines and Minerals (Regulation and Development) Act, 1948 provides "no mining lease shall be granted after the commencement of this Act otherwise than in accordance with the Rules made under this Act, and any mining lease granted contrary to the provisions of subsection (1) shall be void and of no effect". Under Rule 45 of the Mineral Concession Rules, 1949 "no prospecting license or mining lease shall be granted except to a person holding a certificate of approval from the Provincial Government having jurisdiction over the land in respect of which the concession is required". The plaintiff had no certificate of approval from the State Government. Under Rule 49 "no grantor of a prospecting license or a mining lease shall charge any premium in addition to or in lieu of the prospecting fee, surface fee, surface rent, dead rent or royalty specified in such license or lease". There was a stipulation for payment of a premium under the lease deed in favour of the plaintiff. Therefore, clearly the lease in favour of the plaintiff was contrary to the provisions of the Mines and Minerals (Regulation and Development) Act, 1948 and the Mineral Concession Rules, 1949 and as such void.

12. The further question is whether it could be said that this contract was either discovered to be void or became void. The facts enumerated above would show that the contract was void at its inception and this is not a case where it became void subsequently. Nor could it be said that the agreement was discovered to be void after it was entered into. As pointed out by the trial Court the plaintiff was already in the business of mining and had the advantage of consulting its lawyers and solicitors. So there was no occasion for the plaintiff to have been under any kind of ignorance of law under the Act and the Rules. Clearly, therefore, this is not a case to which Section 65 of the Contract Act applies. Nor is it a case to which Section 70 or Section 72 of the Contract Act applies. The payment of the money was not made lawfully, nor was it done under a mistake or under coercion.

13. We agree with the trial Court that the plaintiff should have

4. (1974) 2 SCC 266.

been aware of the illegality of the agreement even when it entered into it and therefore Section 65 of the Contract Act cannot help it.

14. The appeal is, therefore, dismissed but in the circumstances without costs.

(1974) 2 Supreme Court Cases 539

(Before A. N. Ray, C.J. and H. R. Khanna, K. K. Mathew,
A. Alagiriswami and P. N. Bhagwati, JJ.)

PANDIA NADAR AND OTHERS

Petitioners;

Versus

THE STATE OF TAMIL NADU

Respondent.

Writ Petitions Nos. 243-246 of 1970†, decided on April 30, 1974

Constitution of India — Article 14 — Tamil Nadu Land Encroachment Act, 1905 — Alternative procedure for eviction under — Held — Constitutionality valid

Northern India Caterers v. State of Punjab, (1967) 3 SCR 399, not followed.

Maganlal Chhagganlal (P.) Ltd. v. Municipal Corpn., Greater Bombay, (1974)2 SCC 402, followed.

Petitions dismissed

B-M/2032/C

Advocates who appeared in this case :

K. Jayaram and R. Chandrasekhar, Advocates, for the Petitioners;

S. Govind Swaminathan, Advocate General for Tamil Nadu (A. V. Rangan, N. S. Swan and Miss. A. Subhashini, Advocates with him), for the Respondents.

The Judgment of the Court was delivered by

ALAGIRISWAMI, J.—The Tamil Nadu Land Encroachment Act, 1905 is impugned in these petitions as unconstitutional and void. Notices have been issued to the petitioners under Section 6 of that Act in order to evict them from a certain piece of land claimed to be Government land. The challenge to the constitutional validity of the Act is based solely on the decision of this Court in *Northern India Caterers Pvt. Ltd. v. State of Punjab*¹. In that case the validity of the Punjab Public Premises and Land (Eviction and Rent Recovery) Act, 1959 was under consideration. The State had leased its premises to the appellant therein for running a hotel and when the lease expired called upon him to hand over vacant possession of the premises. On the appellant failing to do so the Collector issued a notice under Section 4 of the Punjab Act requiring the appellant to show cause why an order of eviction should not be passed under Section 5. This Court while holding that “there is an intelligible differentiation between occupiers and that the classification has a reasonable relation to the object of the Act and does not offend Article 14” also

†Under Article 32 of the Constitution for enforcement of the fundamental rights.

1. (1967) 3 SCR 399; AIR 1967 SC 1581; (1968) 1 SCJ 475.